The AI Trade Is Cracking

A buying opportunity, or a harder test of returns on capital?

Durgesh Shukla | Microsoft, Alphabet, Meta and Amazon

The October earnings season exposed a tension at the heart of the AI boom. Demand for cloud and computing capacity remains strong, but the investment needed to serve it is expanding much faster than near-term profits. Investors are beginning to distinguish between growth and the economic value of that growth.

The split in share-price performance was striking. Between 1 October and 9 November, Amazon rose 7.53% and Microsoft gained 6.31%, while Meta lost 11.65% and Alphabet fell 14.81%. QQQ, an ETF tracking the Nasdaq-100, declined 8.45%. The technology trade was not sold indiscriminately.

A selective market reassessment

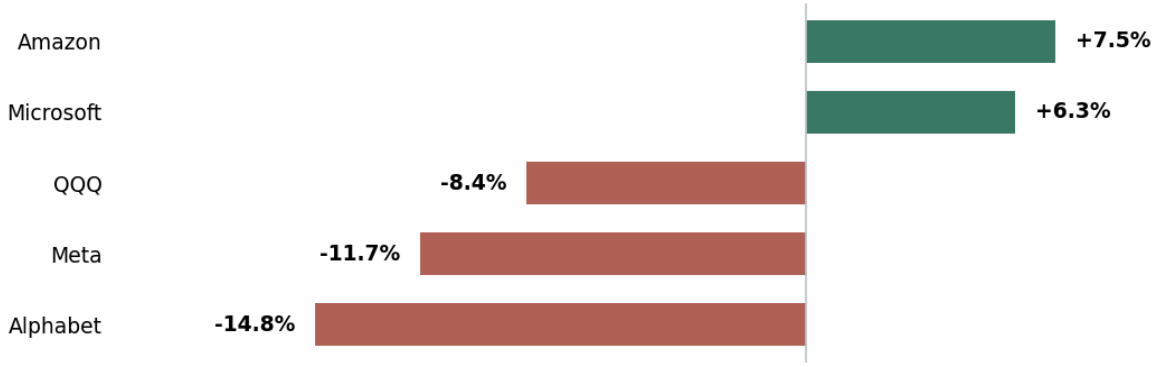


Figure 1. Total price returns, 1 October to 9 November 2026. Source: historical closing prices analysed in Python; QQQ is a Nasdaq-100 proxy.

Alphabet fell 12.64% in its first trading session following earnings and underperformed QQQ by 11.23 percentage points. Meta underperformed by 4.12 points. Microsoft and Amazon outperformed the benchmark on their own reaction days. These moves indicate company-specific concern, but no single financial metric can establish the cause of a one-day stock move.

The available EPS revisions offer an important clue. Over approximately 30 days, forward earnings estimates rose 2.19% for Microsoft and 1.39% for Amazon, but slipped only 0.13% for Alphabet and 0.17% for Meta. The modest downgrades at the latter two companies contrast with much larger share-price declines. A reduction in investors' willingness to pay for future earnings is plausible, although the different observation windows prevent an exact calculation of multiple compression.

When investment outruns cash generation

Year-on-year capital spending accelerated across all four companies in the September quarter. While revenue grew between 12% and 26%, cash CapEx expanded by roughly 80% to 120%. Those investments can generate returns for years, but their immediate effect is to absorb cash.

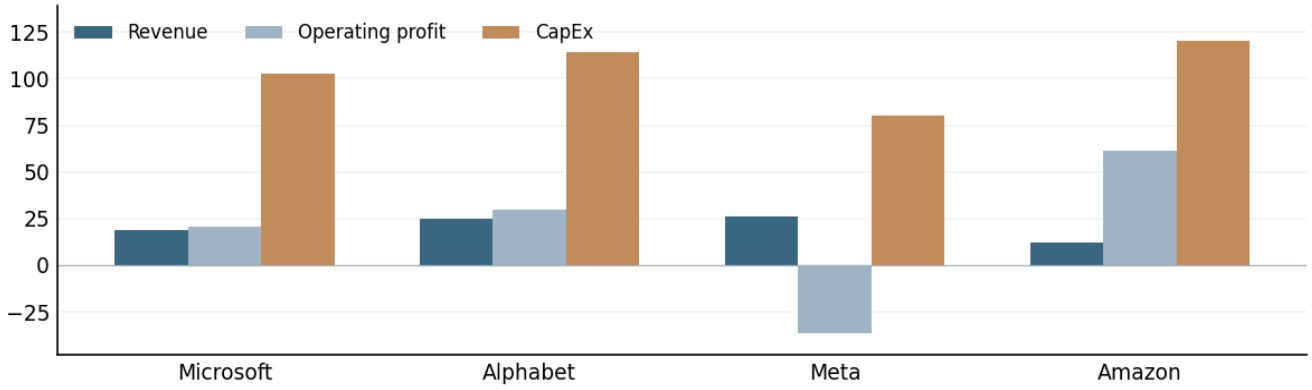


Figure 2. Q3 2026 growth versus Q3 2025. Meta's reported operating profit includes a $9.89bn legal charge. Cash CapEx classifications are not fully identical across companies. Sources: company earnings releases.

Cash flow reveals the strain

Company	Operating cash flow	Cash CapEx	Simplified FCF
Microsoft	$195.88bn	$135.92bn	+$59.96bn
Alphabet	$179.55bn	$159.80bn	+$19.75bn
Meta	$133.09bn	$104.44bn	+$28.65bn
Amazon	$158.44bn	$196.08bn	-$37.64bn

Trailing four-quarter totals from the Python statement extraction. Simplified FCF = OCF - cash CapEx. Amazon reports approximately -$42.4bn TTM FCF under its own definition, demonstrating that presentation and cash-flow classifications differ.

Amazon's capital expenditure exceeded its cash generated from operations. Alphabet spent around 89% of its operating cash flow on capital investment. Microsoft and Meta retained more cash after CapEx, though both still committed substantial amounts. Negative or falling free cash flow during a buildout is not inherently value destructive. The relevant question is what cash flow that investment can support once the new assets are operating at scale.

There is clear evidence of underlying demand. Microsoft reported 48% Azure growth, Google Cloud grew 103%, and AWS grew 39.3% year on year. These segment figures include established cloud services as well as AI activity, so they are not pure measures of AI monetisation.

Valuation provides a second warning. The downloaded forward P/E multiples were 22.40x for Microsoft, 18.69x for Alphabet, 18.03x for Meta and 24.78x for Amazon. Meta and Alphabet may look less expensive on this measure, but low multiples alone are not evidence of undervaluation. Higher reinvestment needs can justify a lower price for each dollar of future earnings.

Does the investment still earn its cost of capital?

To examine capital efficiency, I estimated company-wide return on invested capital and compared it with a modelled weighted average cost of capital. Every company screens above its cost of capital under the assumptions used, though the spreads vary substantially.

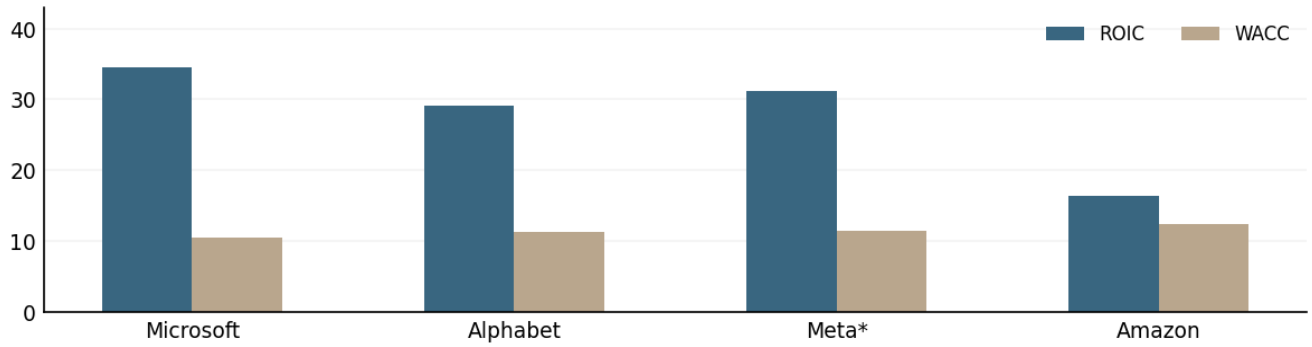


Figure 3. Estimated TTM ROIC versus modelled WACC. *Meta excludes its $9.89bn legal charge using an assumed 21% tax effect. These are simplified company-wide measures, not AI-project returns.

Microsoft had a 24.03 percentage-point estimated ROIC-WACC spread; Alphabet 17.82 points; adjusted Meta 19.78 points; and Amazon 3.94 points. The results indicate that established operations remain economically profitable in this model. Amazon has the smallest cushion. Yet the newest AI facilities could earn very different returns from the businesses that preceded them.

The investment judgement

The evidence does not show an AI earnings collapse. Operating businesses remain profitable, cloud growth is strong and company-wide capital returns exceed estimated financing costs. But it does reveal mounting capital intensity and an increasing dependence on future utilisation, pricing and the economics of infrastructure ownership.

This makes the case for selective research, not a blanket buy-the-dip call. Microsoft appears financially resilient but carries a meaningful valuation premium. Alphabet and Meta deserve closer scrutiny after their sell-offs, including whether their future free cash flows warrant higher valuations. Amazon combines strong AWS growth with the narrowest estimated return cushion and negative trailing free cash flow. None of these observations produces a defensible price target on its own.

Bottom line. The AI trade is entering a period when the question is no longer how much companies can spend, but whether each additional dollar invested produces enough sustainable cash flow. The next step toward a buy or sell decision is a forward valuation model, with explicit revenue, CapEx, margin and asset-life assumptions, plus bear and bull cases. Until then, the correction is better viewed as a test of capital discipline than proof of a bubble bursting.

Methodology and limitations. Financial statements from SEC company facts and 2026 quarterly earnings releases; share returns and rolling EPS estimates from Yahoo Finance, analysed in Python through 9 November 2026. ROIC uses normalised NOPAT and a simplified capital base (equity + debt - cash and financial investments). Estimated WACC assumes a 4.88% risk-free rate, 5.5% equity risk premium, 5.5% pre-tax debt cost and 21% tax. Non-operating assets, accounting gains, lease effects and the choice of tax rates may change the estimates. Figures do not isolate AI investment returns. This is independent research, not personal investment advice.

Primary disclosures: Microsoft FY27 Q1 investor relations; Alphabet Q3 2026 investor relations; Meta Q3 2026 investor relations; Amazon Q3 2026 investor relations.